

PSP Projects Ltd

Concall Tracker — earnings-call read of the last ~3 years • Screener ticker: PSPPROJECT • Report date: 5 July 2026

What the business does, in one line: PSP Projects is a construction contractor based in Ahmedabad, Gujarat — it builds buildings for others (offices, factories, hospitals, universities, malls, government buildings) on a fixed-scope "engineering, procurement and construction" (EPC) basis, meaning it takes the full job from design to hand-over for an agreed price. It famously built the Surat Diamond Bourse, the world's largest office building.

1. Snapshot

Number	Value	Plain-English read
Market value (market cap)	~₹4,066 crore	What the whole company is worth on the stock market today.
Revenue FY26 (year to Mar 2026)	~₹3,149 crore	Total sales for the latest year — up about 25% on last year's ~₹2,512 crore. Growth is strong.
Net profit FY26	~₹55 crore	What was left after all costs. Flat-to-down versus ₹56 crore last year — and far below the ₹162 crore peak of FY22. Profit is stuck.
Operating margin FY26 (OPM)	~6%	Out of every ₹100 of sales, only ~₹6 is operating profit. This has fallen every year from ~15% in FY22 — the core problem.
Price-to-earnings (P/E)	~77x	The share costs 77 times last year's per-share profit — a very expensive rating for a low-margin builder, betting on a big future recovery.
Return on capital (ROCE)	~7.5%	The profit the business earns on the money put into it. Weak — it was over 30% a few years ago.
Order book (work-on-hand) Mar 2026	~₹13,447 crore	Signed work not yet built. About 4 years of sales already in the bag — very strong forward visibility.

Data note: Screener's downloaded financial tables are the standalone (parent-only) accounts (FY26 sales ~₹2,989 cr, profit ~₹52 cr). Management reports slightly higher consolidated (group) numbers on the calls (FY26 sales ~₹3,149 cr, profit ~₹55 cr). This report uses management's consolidated figures where the two differ; the gap is small and does not change any conclusion.

2. Concall coverage

Nine earnings/investor calls were read in full, spanning the last three years (Q1 FY24 to Q4 FY26). This covers the entire story arc — from the old organic-growth pitch, through the collapse in margins, to the game-changing Adani deal.

Quarter	Call date	Read?
Q1 FY24	27 Jul 2023	Yes
Q2 FY24	02 Nov 2023	Yes
Q4 FY24	24 May 2024	Yes
Q1 FY25	02 Aug 2024	Yes
Q2 FY25	25 Oct 2024	Yes

Special: Adani stake-sale call	20 Nov 2024	Yes
Q4 FY25	23 May 2025	Yes
Q2 FY26	17 Oct 2025	Yes
Q4 FY26 (latest)	30 Apr 2026	Yes

The latest call (Q4 FY26) was present and read — no gap on the most recent quarter. Screener listed a few 2018 calls as missing, but those are seven years old and outside the reading window, so they do not affect the analysis.

★ Latest concall highlights — Q4 FY26 (call held 30 Apr 2026)

- **Record quarter on sales:** Q4 revenue was ₹1,115 crore, up 66% on the same quarter last year — the highest sales the company has ever done in a single quarter. Execution is finally speeding up.
- **Profit up sharply but off a tiny base:** Q4 net profit was ₹21 crore versus ₹6 crore a year ago (up 234%). It sounds huge, but the margin was still only 1.88% of sales — the base was almost nothing, so the percentage flatters it.
- **Order book is exploding:** work-on-hand hit ₹13,447 crore, up 85% in a year. FY26 new orders were ₹10,925 crore, of which **85% came from the Adani Group** — the new anchor customer and co-owner.
- **Margins still the sore point:** full-year operating margin was just 6% (down from 7% last year). Management now guides 8-9% ahead — below the 11-13% they promised for years. They blame a ₹30 crore write-off (bad debt provision) on the old Kashi Vishwanath project.
- **Tone:** confident on growth and order flow (guiding ₹4,500 crore revenue for FY27), but on margins the tone is defensive and the goalpost keeps moving down.

2c. Business mix & capacity

Domestic vs exports: 100% domestic (India only) — PSP is a purely Indian builder with no export revenue. Within India it has shifted from almost entirely Gujarat to a spread across Gujarat, UP, Rajasthan, Karnataka, Maharashtra and Delhi-NCR. (Plain read: every rupee of sales is earned inside India.)

Customer mix: As of Mar 2026, about **67% of the order book is Adani Group ("within-group") work** and ~33% is outside customers; government projects have shrunk to ~25% of the book (from 43% a year earlier). (Plain read: two-thirds of future work now depends on one owner-customer, Adani — a big concentration.)

Capacity / headroom: PSP is a contractor, not a factory, so there is no single plant-utilization %. The right gauge is order book vs sales: ~₹13,447 crore of signed work against ~₹3,149 crore annual sales is **roughly 4x** — years of runway, if it can be executed. It also runs a precast concrete plant (building parts made in a factory then assembled on site); management has not lately given a firm utilization number for it.

★ 3. Earning-trigger thesis

The headline driver: The whole story changed in November 2024. Founder Prahaladbhai Patel agreed to **sell about 30% of the company to Adani Infra (India) Ltd** (with an open offer for another 26%), leaving the founder and Adani as roughly **50-50 co-owners**. Adani is now both a **promoter (part-owner)** and the **biggest customer**. Adani's group plans huge spending on airports, data centres, ports

and real estate, and is funneling building work to PSP. This has already shown up: FY26 new orders of ₹10,925 crore were **85% from Adani**, and the order book jumped from ~₹6,000 crore to ~₹13,447 crore. This is a real, live, measurable driver — not a promise.

The catch: This driver is powering revenue, **but not yet profit**. Despite sales nearly doubling since FY22, FY26 profit (₹55 crore) is a third of FY22's (₹162 crore) because margins collapsed from ~15% to ~6%. The Adani work is priced on a "cost-plus" basis (a fixed profit above cost), which may cap how high margins can go, and it carries related-party risk (a promoter is also the customer).

Trigger	What management said	Evidence so far	Time horizon	Strength
Adani as co-owner + anchor customer	"Multifold increase in the order book"; order book could reach ₹14,000-16,000 crore	Real: order book +85% to ₹13,447 cr; 85% of FY26 orders from Adani	Now — next 3-10 years	Strong on revenue
Turning that revenue into profit	Margins to "stabilise at 8-9%" as scale builds	Weak: margin still 6% in FY26; profit flat for 4 years	FY27 onwards (promised)	Unproven
Old organic Gujarat / infra story	15-20% revenue growth, 11-13% margins	Revenue grew; margins and profit did not	FY18-FY25	Failed on earnings

Read: There *is* a clear, concrete, still-live driver (Adani), and it is visibly playing out on the top line. But because "earning trigger" means profit, and profit has been flat-to-down for four straight years, the trigger is only **half-proven**: massive revenue, no earnings growth yet.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24	Revenue ~₹2,600 cr; margin 11-13%	Revenue ~₹2,462 cr (close); margin fell to ~10.6%, profit down 7%	Partly
FY25	Revenue ~₹2,800 cr; margin back to 10-11%	Revenue flat at ~₹2,468 cr (missed); margin crashed to ~7%; profit halved to ₹56 cr	Missed
"11-13% margin" (repeated for years)	Held out 11-13% as the normal band, then 10-11%	Delivered 12% → 11% → 7% → 6%; now guides only 8-9%	Missed / goalpost moved
UP hospital projects (5+ quarters)	Margin hit is "one-time," "next quarter better"	The extra cost recurred quarter after quarter for over a year	Missed
FY26 revenue	₹3,000 cr+ (raised to ₹3,200 cr)	Delivered ~₹3,149 cr	Delivered
Order-book growth	Bid book ₹6,000 cr+; big order inflow	Order book grew strongly, then exploded via Adani	Delivered
Strategy / ownership	Growth pitched for years as organic Gujarat + private capex	Founder sold half the firm to Adani (Nov 2024) — a wholesale U-turn; also did a share sale (QIP) at ~₹670 in Apr 2024, then sold his own stake to Adani at ~₹575 six months later	Dropped / changed

Narrative drift: The story has not stayed steady — it has drifted and then flipped. For years the pitch was "we are the go-to Gujarat builder, margins 11-13%." Margins then fell every single year and the guidance was quietly walked down. The UP-project pain was called "one-time" repeatedly while it kept recurring. Then the entire thesis was replaced: instead of growing organically, the founder sold half the company to Adani and re-cast PSP as Adani's building arm. To their credit, management delivered on order-book growth and has been candid in admitting the margin misses. But on the numbers that matter most — margins and profit — they have over-promised and under-delivered year after year, and the strategy changed fundamentally. There are also governance amber flags: a ₹30 crore bad-debt write-off on the Kashi project, a bank guarantee invoked on a cancelled UP (Badaun) job, and the long Surat Diamond Bourse payment dispute.

5. Bottom line — two verdicts

Durable earning trigger? → **MAYBE**

There is a genuinely big, concrete and *already-visible* driver: Adani is now co-owner and anchor customer, and it has pushed the order book to a record ~₹13,447 crore (about 4 years of sales), with 85% of FY26 orders coming from Adani. On revenue, this is clearly playing out. But an "earning" trigger must lift **profit**, and here the evidence is missing — profit has been flat-to-down for four years (₹55 crore in FY26 versus ₹162 crore in FY22) because margins fell from ~15% to ~6%. The whole thesis now rests on margins recovering to 8-9% on a much bigger revenue base; if that happens, earnings could jump sharply. It is plausible but unproven, and Adani's cost-plus pricing may cap the upside. Concrete driver, real revenue, unconverted earnings — hence MAYBE, not yet a Yes.

Management consistent? → **NO**

Management has missed its own margin guidance for years running — the "11-13% normal margin" became 7% and then 6%, and the target has been quietly cut to 8-9%. The FY25 revenue target was missed, the "one-time" UP-project cost recurred for over a year, and, most tellingly, the founder reversed the entire organic-growth story by selling half the company to Adani — after raising money from public investors at a higher price only months earlier. That is exactly the pattern the scorecard flags as inconsistent: repeated misses on the key metric plus a story that changed fundamentally. They deserve credit for delivering order-book growth and for being honest about the misses, but on promised-versus-delivered where it counts, the record is a No.

Prepared from PSP Projects' own earnings-call transcripts (Screener.in) and the downloaded financial tables. Figures rounded; "crore" = 10 million. This is a reading of what management said versus what the numbers show — not investment advice.